Strategic Management

Summary and Conclusions

Session 29

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

- **Concept Strategy**
  - Strategy vs Planning
  - Elements of strategy to succeed
  - Corporate Strategy vs. Business Strategy
  - Mission, Vision, Values.
- **Value Creation**
  - Value vs. Price
  - Financial Ratios, Balanced Scorecard
- **Industry Analysis and Segmentation analysis**
  - PEST, Porters Diamond
  - Porter´s Five Forces + Key Successful Factors
  - Steps for Segmentation
  - Strategic Group analysis
  - Blue Ocean strategy
- **Resources and Capabilities**
  - VRIO Analysis
  - Barriers to Imitation
- **Competitive Advantage**
  - What is a Competitive Advantage
  - Drivers of Cost Leadership
  - Drivers of Differentiation
  - Defending Competitive Advantage
- **Vertical Integration & Diversification**
  - Benefits and Costs of Vertical Integration
  - Organic growth vs Inorganic Growth
  - Related vs Unrelated Diversification
  - Porter´s three essential tests
- **Industry Life Cycle and Barriers to Entry**
  - Characteristics of each Stages of life cycle
  - The tree Bain´s Entry Conditions
  - Fudenberg & Tirole Matrix
- **Game Theory**
  - Dominant Strategy Equilibrium & Dominated Strategy
  - Nash Equilibrium & Subgame Perfect Nash Equilibrium
  - Mixed Strategies
  - Bertrand Model and Cournot Model

CONCEPT OF STRATEGY

Session 1

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

STRATEGY →

The unifying theme that gives coherence and direction to actions and decisions of an individual or an organization.

PLANNING →

The process of creating a detailed plan or program of instructions for achieving goals.

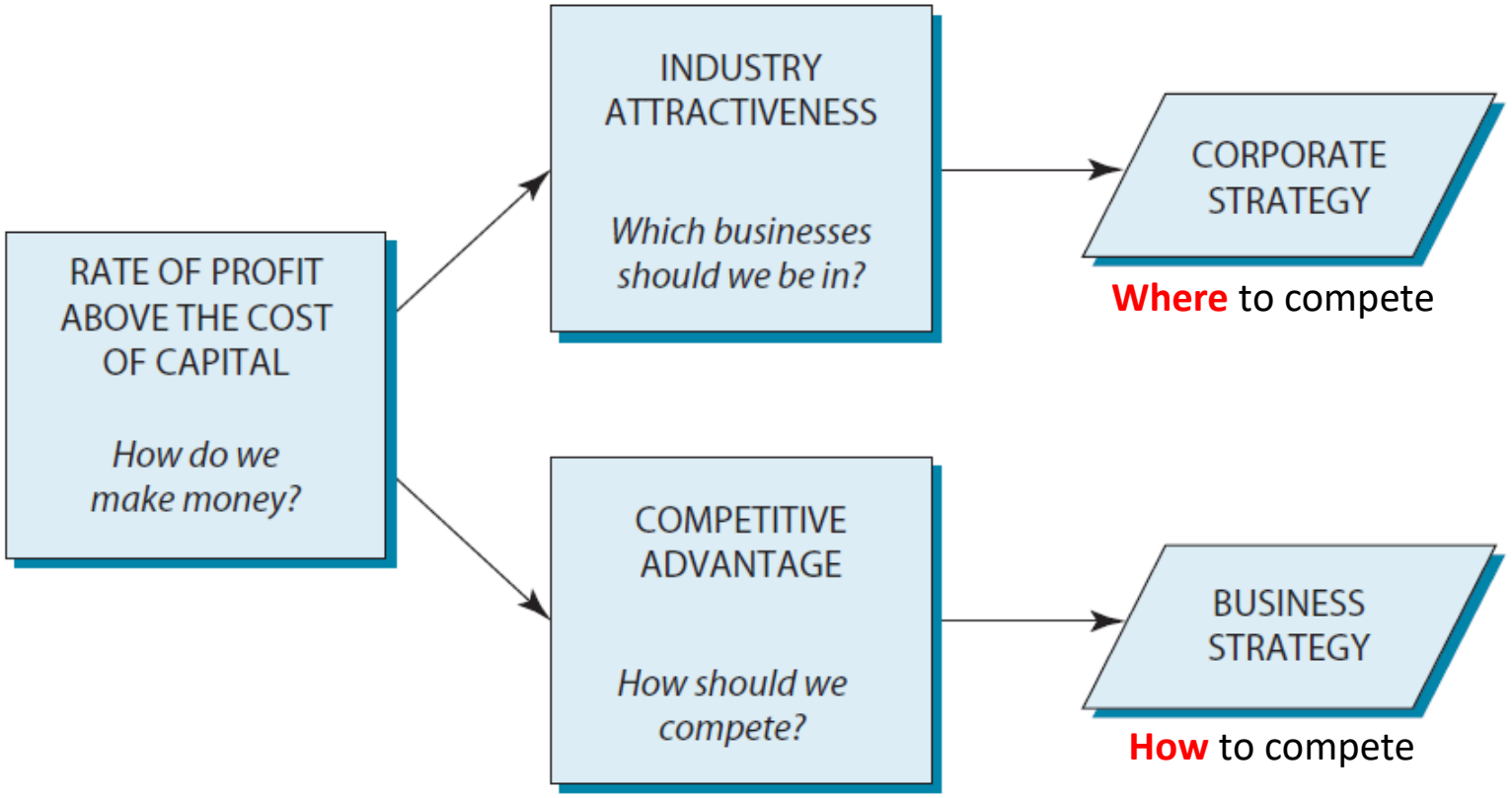
Robert Grant, identifies 5 elements for a business strategy to succeed:



1. **Goal Focused** → Well defined Targets
2. **Know the environment** → and adapt to it.
3. **Know yourself** → Strengths & weakness
   Resources & Capabilities
4. **Effective Implementation** → Commitment, consistency and determination
5. **Alignment and coherence** between :
   - Targets and Goals
   - Corporate culture and values of the company.
   - Resources and capabilities
   - Organization, Structure and Coordination

Here is the KEY

Corporate and business (competitive) strategy



Corporate and business (competitive) strategy

Corporate strategy

Where is competing?

- Products or services (Diversification strategy)
- Customers & Suppliers
- Countries & internationalization
- Vertical integration

Business strategy

How is competing? Competitive Strategy

- Firm´s competitive advantage:
  - Cost Advantage
  - Differentiation advantage

1. **Setting the Strategic Agenda**
    1. Identify current strategy
    2. Appraise Performance
2. **Analyzing the situation**
    1. Diagnose Performance
    2. Industry analysis
    3. Analysis of Resources & Capabilities
3. **Formulating Strategy**
    3. Generating Strategic Options
    4. Decide Strategy
4. **Implement Strategy**
    3. Strategic Planning
    4. Allocating Resources
    5. Motivating People

1. Setting the Strategic Agenda

1.1. IDENTIFY CURRENT STRATEGY → Describing Strategy

- *Mission* → *Organization purpose (Why we exist?)*
- *Vision* → *What we want to be in the future?*
- *Corporate Values or principles* → *What we believe and how we will behave?*
- *Strategy statements or Competitive advantages* → *Competitive game plan.*
  - *Where is the firm competing?* → Products, services, customers, locations,

    Ex.: McDonalds 5 pillars: People, Products, Place, Price & Promotion.
  - *How is it competing?* → Nature of competitive advantages

    Ex. McDonalds: Convenience, menu variety, geographic diversification & system alignment.

1.2. PERFORMANCE → How well is current strategy performing

2. Analyzing the situation

2.1. DIAGNOSE PERFORMANCE →

- What are the causes of (good or bad) performance?

2.2. INDUSTRY ANALYSIS →

- Looking at the changes in the industry and their implications

2.3. ANALYSIS OF RESOURCES & CAPABILITIES →

- What resources do the organization have?
- What are their core capabilities?
- Are these capabilities dynamic in order to adapt to changes in the environment?

3. Formulating Strategy

1. GENERATING STRATEGIC OPTIONS
2. DECIDE THE STRATEGY

At this point, we have many strategic choices, But we have to select one, taking into consideration:

This is the key role of the CEO



1. **Risk vs. Benefit Analysis**

2. **Decision-maker Background:**

- Previous experiences of decision-maker.
- Fields of interest
- Background Studies
- Net working a d personal friends influences
- Hobbies and general knowledge

Ex.: Kodak, Black-Berry, Block-Buster, etc…

4. Implement Strategy

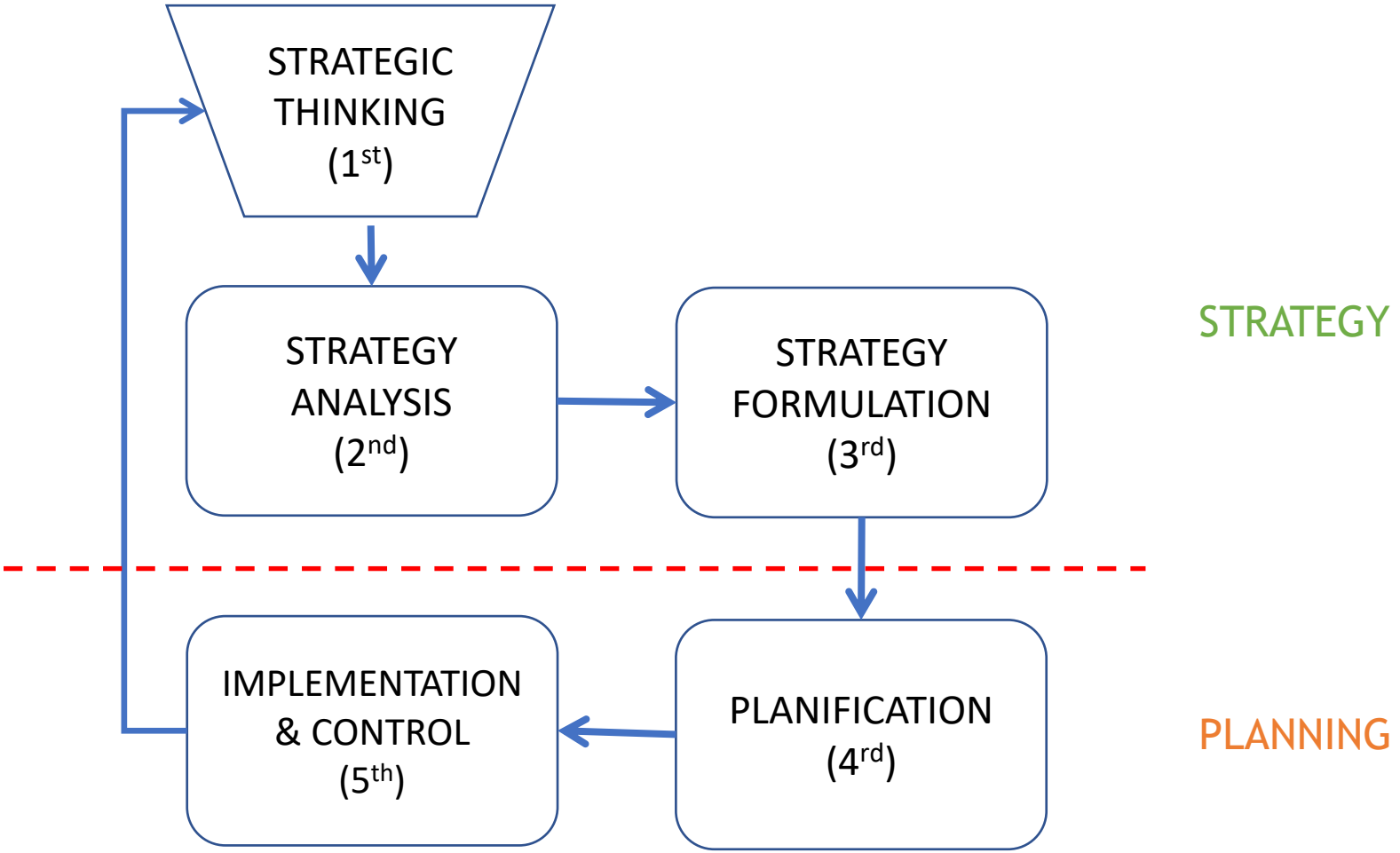
1. Allocating Resources → Do we have the resources for implementing the strategy?
2. Acquiring Capabilities → Do we have the capabilities for implementing strategy?
3. Motivating People → Aligning Corporate objectives & Personal Objectives.
4. Control & Feedback → Balanced Scorecard.

   • Measure Results: Define KPIs to measure and compare with target KPIs.

   • Implant Corrective measures: If results don´t satisfy standards. We have to take corrective.

   • Feed-back: Take notice of what is really happening in order to improve the planning system.

The Strategy design process



Strategies for competing in Industries

"Competing for today but with the weight on the future"
(Gary Hamel and C.K. Prahalad)

Strategy as Positioning

- *Where are we competing?*
  - -Product market scope
  - -Geographical scope
  - -Vertical scope
- *How are we competing?*
  - -What is the basis of our competitive advantage?

Strategy as Direction

- *What do we want to become?*
  - -Vision statement
- *What do we want to achieve?*
  - -Mission statement
  - -Performance goals
- *How will we get there?*
  - -Guidelines for development
  - -Priorities for capital expenditure, R & D
  - -Growth modes: organic growth, M & A, alliances

COMPETING FOR THE PRESENT

PREPARING FOR THE FUTURE

VALUE CREATION
VALUE CAPTURE
FIRM´S PERFORMANCE

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Prof. Ricardo López Pérez

rlp@faculty.ie.edu

- UNIQUE PURPOSE → Every business has a unique purpose

E.g. Henry Ford (Ford Motor Company), Steve Jobs (Apple), Jack Ma (Alibaba) were each motivated by a distinct vision.

- **VALUE** → is the monetary worth of a product for the customer. It varies between customers needs and their appreciations "marketing"

- **PRICE** → is the monetary payment done by the customer.

- **VALUE CREATION** → Organizations need to create value for:
  - **CUSTOMERS** → to create value for customers
  - **THE ORGANIZATION** → to appropriate some of that value in the form of profit—in order to ensure the survival of the firm.

VALUE "must be" > PRICE

"Value is what you get, price is what you pay" (Warren Buffett)

BACKWARD-LOOKING RATIOS → Based on Balance Sheet & Profits-Losses Sheet

	Ratio	*Formula*	*Notes*
Use of Capital	**Return on Investment (ROI)**	$\frac{\text{EBIT (Operating profit, before interest, after tax)}}{\text{Fixed Assets – Current liabilities}}$	The return on investment (ROI) measures how efficient is the company using capital for an investment. This ratio is very similar to ROCE (Return on capital employed)
Use of Equity	**Return on Equity (ROE)**	$\frac{\text{Net income}}{\text{Equity}}$	Measures the firm's success in using shareholders' capital to generate profits that are available to remunerate investors.
Use of Assets	**Return on Assets (ROA)**	$\frac{\text{Net Income}}{\text{Total assets}}$	Measures the efficiency of the firm using their assets.
Margin from sales	**Gross margin**	$\frac{\text{Sales – Cost of goods sold}}{\text{Sales}}$	Gross margin measures how much value a firm adds value to the goods and services it buys in.
	Operating margin	Operating profit / Sales	Operating margin and net margin measure a firm's ability to **extract profit from its sales**, but influenced by differences in capital intensity between different types of business.
	Net margin	Net income / Sales	

FORWARD-LOOKING RATIOS →

Profit maximization an ambiguous goal:

- **Total profit vs. Rate of profit**
- **Over what time period?**
- **What measure of profit?**
- **Accounting profit *versus* economic profit**

Estimating the value of the enterprise:

Net present value of free cash flows: $$V = \sum_t \frac{C_t}{(1 + WACC)^t}$$

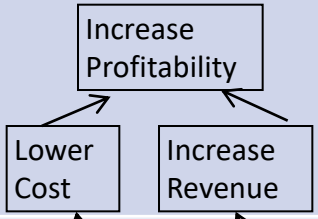
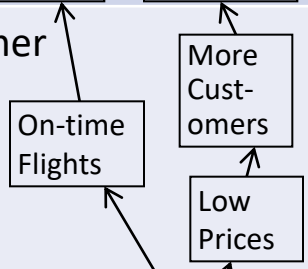
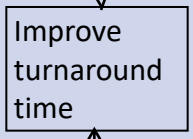
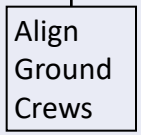
Where: V = Market value of the firm.

C_t = free cash flow in time t

WACC = Weighted average cost of capital

Balanced Scorecard

Balanced Scorecard for a Regional Airline

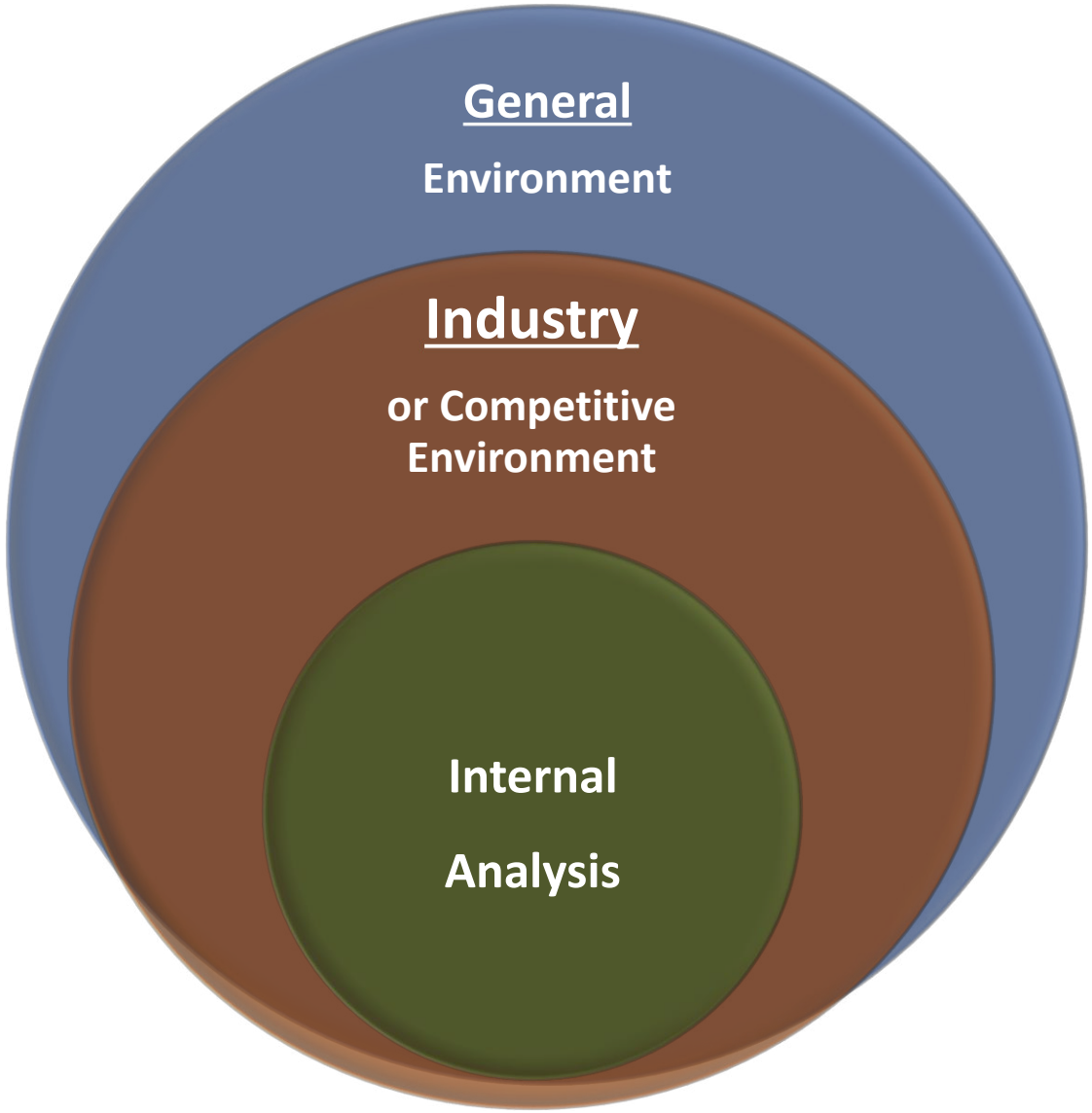
Simplified Strategy Map	Performance Measures	Targets	Initiatives
Financial 	• Market Value • Seat Revenue • Plane Lease Cost	• 25% per year • 20% per year • 5% per year	• Optimize routes • Standardize planes
Customer 	• FAA on-time arrival rating • Customer ranking • No. customers	• First in industry • 98% satisfaction • % change	• Quality management • Customer loyalty program
Internal 	• On Ground Time • On-Time Departure	• <25 Minutes • 93%	• Cycle time optimization program
Learning 	• % Ground crew stockholders • % Ground crew trained	• Year 1, 70% • Year 4, 90% • Year 6, 100%	• Stock ownership plan • Ground crew training

INDUSTRY ANALYSIS & STRUCTURE

Session 3 & 4

Prof. Ricardo López Pérez

rlp@faculty.ie.edu


General
Environment
Industry
or Competitive
Environment
Internal
Analysis

PEST ANALYSIS

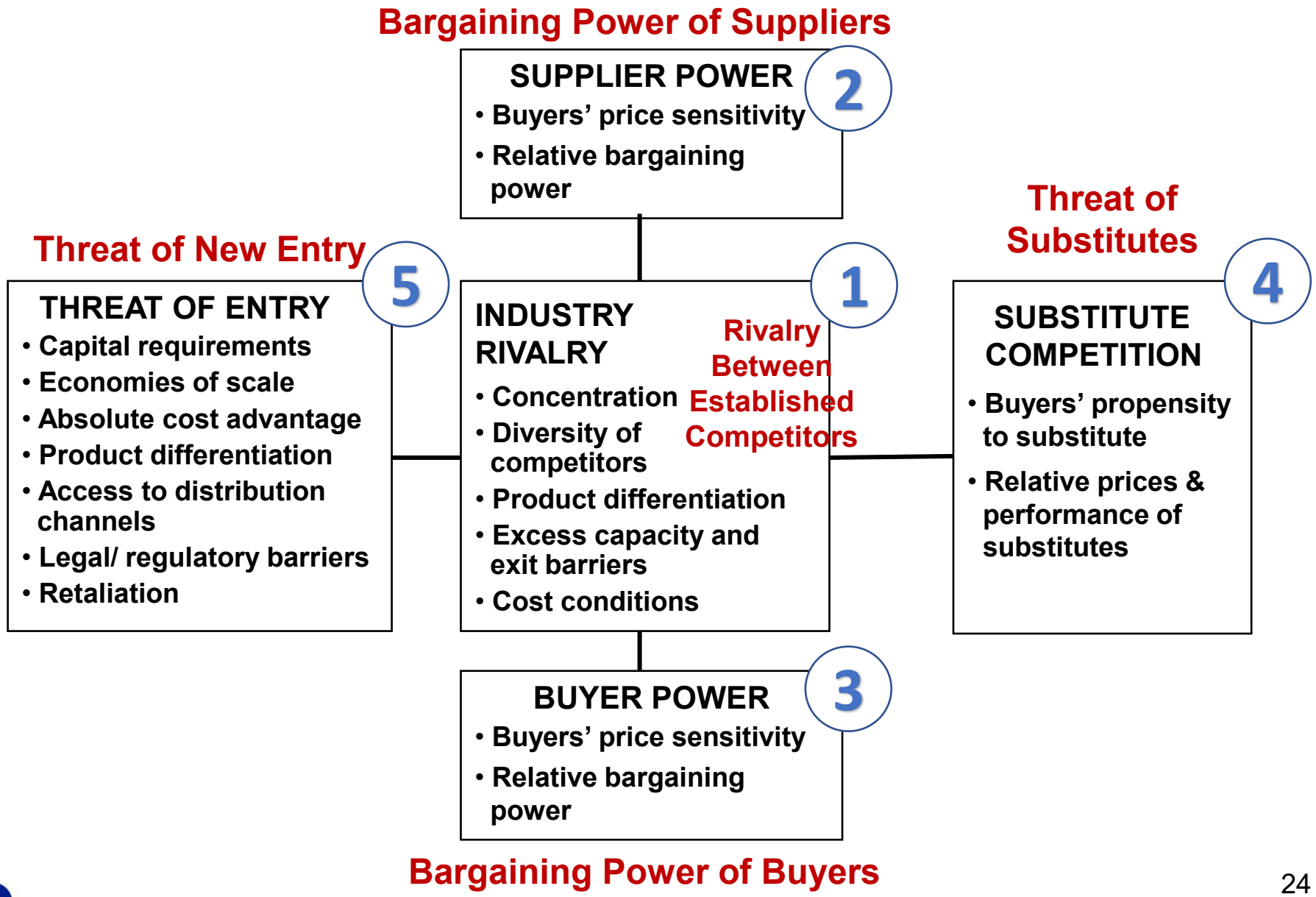
PEST Analysis considers the **political**, **economic**, **social** and **technological** factors that impacts a firm.

- **It is possible to compare different environments or different moments in time.**

	-10	-5	0	5	10
POLITICAL & LEGA Environment					
* Political (democracy, dictatorship, etc..)	x				
* Legislation and enforcement of it		x			
* Fiscal policy.			x		
* Etc…					
ECONOMICAL Environment					
* Unemployment rate, Inflation, etc.					x
* Capital markets efficiency				x	
* Etc…					
SOCIO-CULTURAL Environment					
* Values, culture, social equality			x		
* Laboral force, Union groups, etc..		x			
* Etc…					
TECHNOLOGICAL Environment					
* I+D+i policy.				x	
* Technological maturity					x
* Technological disponibility factors.				x	

Industry Analysis

"What determines the level of profit in an industry?"


Bargaining Power of Suppliers
SUPPLIER POWER
• Buyers' price sensitivity
• Relative bargaining power
2
Threat of New Entry
5
THREAT OF ENTRY
• Capital requirements
• Economies of scale
• Absolute cost advantage
• Product differentiation
• Access to distribution channels
• Legal/ regulatory barriers
• Retaliation
1
INDUSTRY RIVALRY
Rivalry Between Established Competitors
• Concentration
• Diversity of competitors
• Product differentiation
• Excess capacity and exit barriers
• Cost conditions
Threat of Substitutes
4
SUBSTITUTE COMPETITION
• Buyers' propensity to substitute
• Relative prices & performance of substitutes
BUYER POWER
3
• Buyers' price sensitivity
• Relative bargaining power
Bargaining Power of Buyers

Key success factors → Are those important elements required for a company to compete in its target markets.

What does my customers value?

- Demand Analysis
  - What does my customers value?
  - who are my customers?

How do I survive to competition?

- What are the dimensions of competition?
  Price, service, quality, etc…
- How can we bit competition?



KEY SUCESS FACTORS

Which are the key success factor of a tree in the Amazonia?

SEGMENTATION & POSITIONING

Session 6

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

What is segmentation?

- **Segmentation →**

The process of disaggregating industries into specific markets

- **A more detailed analysis of competition, focused on a market**

INDUSTRY → MARKET

The steps of segmentation analysis

1. **Identify key variables and categories**
   - Identify segmentation **VARIABLES**
   - Reduce to 2 or 3 variables
   - Identify discrete **CATEGORIES** for each variable
2. **Construct a segmentation matrix**
3. **Analyze segment attractiveness**
4. **Identify KSFs in each segment**
5. **Analyze benefits of broad vs. narrow scope**
   1. Potential for economies of scope across segments
   1. Similarity of KSFs
   2. Differentiation benefits of segment focus

Example: Segmentation of the car industry

Variables

REGIONS

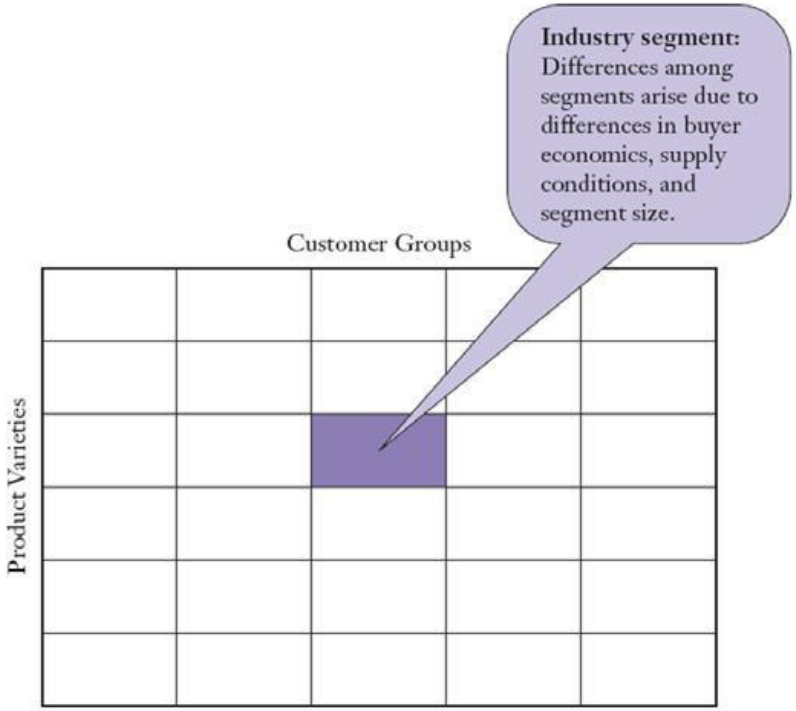
Categories

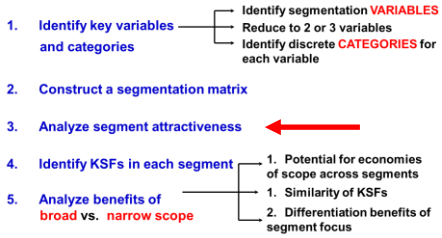
PRODUCTS

	North America	Western Europe	Eastern Europe	Asia	Latin America	Australia & NZ	Africa
Luxury cars							
Full-size cars							
Mid-size cars							
Small cars							
Station wagons							
Minivans							
Sports cars							
Sport utility							
Pickup trucks							
Hybrids							

3 rd Analyze segment attractiveness

- Porter's 5 forces are a useful tool to analyze the (structural) attractiveness of segments and identify key success factors





4 rd Identify KSFs in each segment

Segmentation and Key Success Factors: The U.S. Bicycle Market

SEGMENT	KEY SUCCESS FACTORS
Low price bicycles sold primarily through department and discount stores, mainly under the retailer's own brand (e.g. Sears' "Free Spirit");	• Low-costs of components and assembly. • Supply contract with major retailer. *Leading competitors:* Assemblers in Taiwan & China + a few U.S manufacturers, e.g. Murray Ohio, Huffy
Medium-priced bicycles sold mainly under manufacturer's brand and distributed through specialist cycle stores	• Cost efficiency through scale and low wage costs • Reputation for quality • Good dealer relations * International marketing & distribution. *Leading competitors:* Giant, Peugeot, Fuji
High-priced bicycles for enthusiasts.	• Quality components and assembly • Innovation in technology and design • Reputation (including success in racing) • Strong dealer relations.
Children's bicycles /tricycles) sold through discount stores, & toy stores)	Similar to low-price bicycle segment.

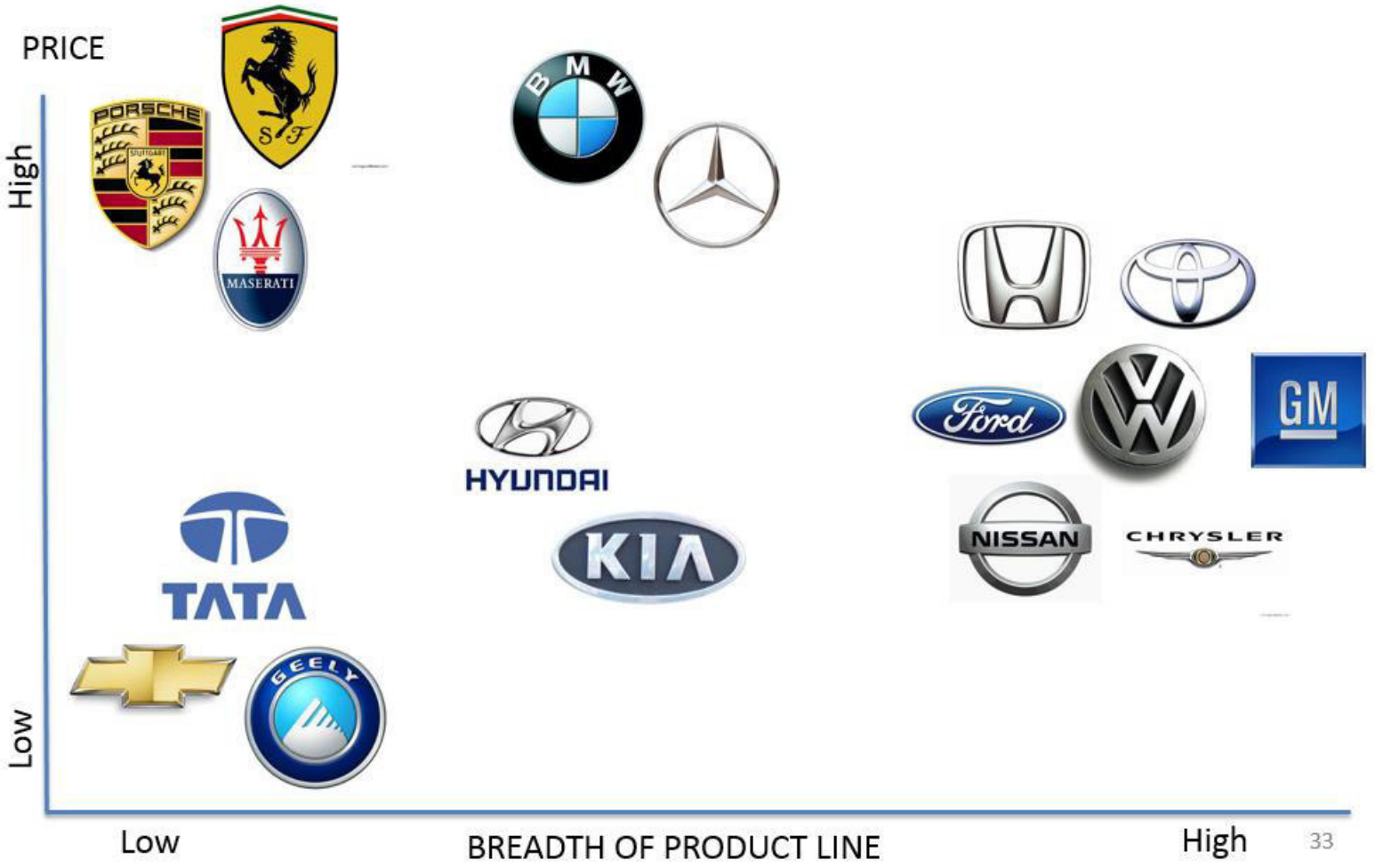
Segmentation vs. Positioning vs. Differentiation

- Segmentation = Choice of customers, needs, and geographical areas targeted by a firm (i.e. Where does the firm compete)
- Positioning = Choice of a favorable position in an industry or market (i.e. cost vs. benefit leadership)
- Differentiation = Choice how a firm distinguishes its offerings from those of its competitors → Value Proposition
- **Does differentiation imply segmentation?**
  - Not necessarily, depends upon the differentiation strategy

Broad Strategy
- Broad Scope Differentiation–Appealing to what is common between different customers (Apple, McDonalds, Honda…)

Niche Strategy
- Focused Differentiation–Appealing to what distinguishes different customer groups (MTV, Harley-Davison, Armani,…)

Example 2: Car industry



Red and Blue Oceans Strategies

Don´t Compete → Make Competition irrelevant



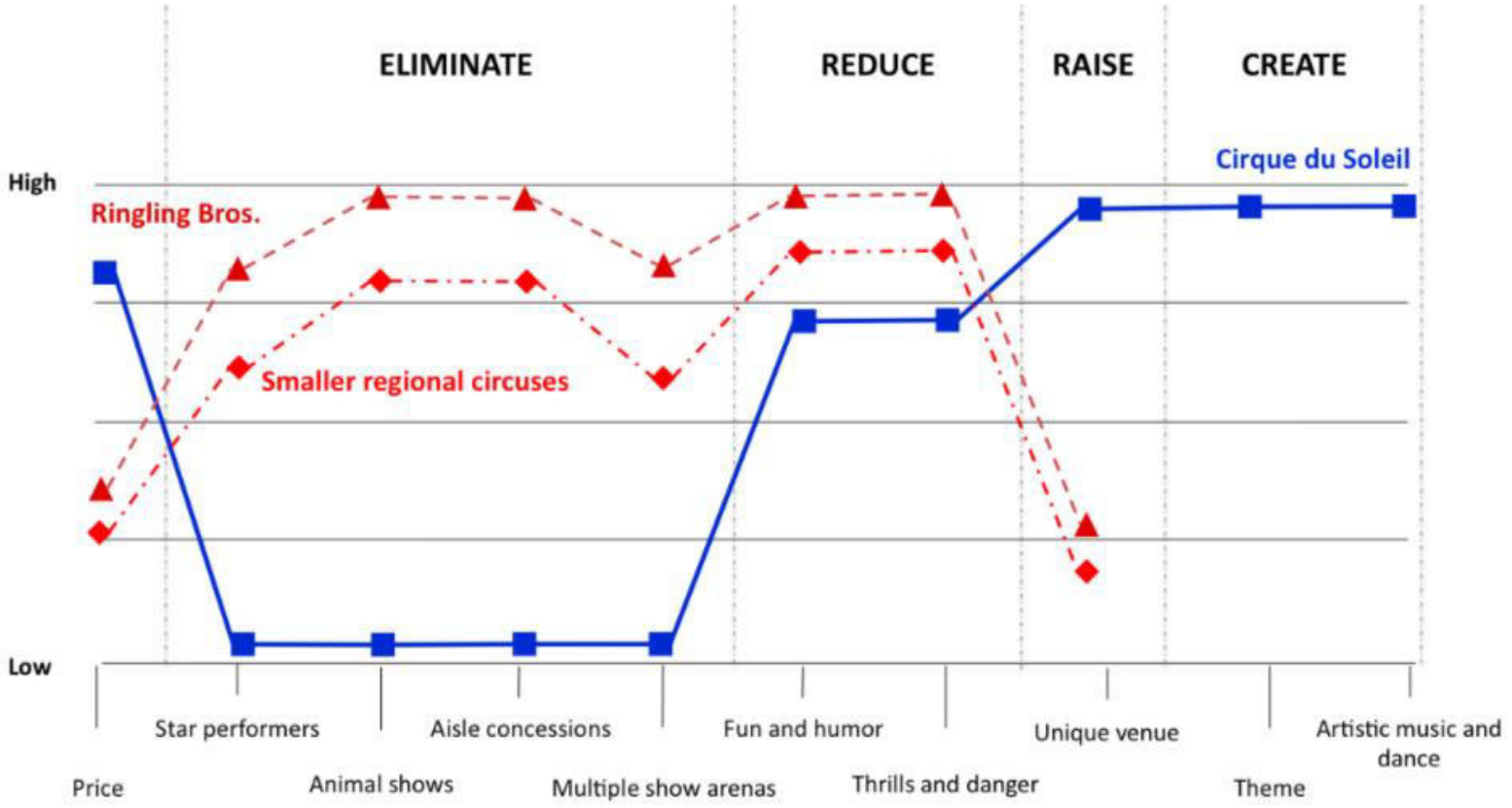
- Create uncontested market space
- Make the competition irrelevant
- Create and capture new demand
- Break the value-cost trade off
- Pursue low cost *and* differentiation



- Compete in existing market space
- Beat the competition
- Exploit existing demand
- Make the value-cost trade off
- Pursue low-cost *or* differentiation

STRATEGY CANVAS FOR BLUE OCEAN STRATEGY
Cirque du Soleil vs. Traditional Circus

Eliminate – Reduce – Raise – Create



BEYOND INDUSTRY ANALYSIS

Session 8

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

Resources

- **Resources** = Productive assets owned or controlled by the firm

- Types of resources

RESOURCES		
TANGIBLE	INTANGIBLE	HUMAN
• Financial (cash, securities, borrowing capacity) • Physical (plant, equipment, land, mineral reserves)	• Technology (patents, copyrights, trade secrets) • Reputation (brands, relationships) • Culture	• Skills/know-how • Capacity for communication and collaboration • Motivation

Resource		Characteristics	Indicators
Tangible Resources	Financial	Borrowing capacity Internal funds generation	Debt/Equity ratio Credit rating Net cash flow
	Physical	Plant and equipment: Size, location, technology flexibility. Land and buildings Raw materials	Market value of fixed assets. Scale of plants Alternative uses for fixed assets
Intangible Resources	Technology	Patent, copyrights, know how, R&D facilities Technical and scientific employees	No. Of patents owned Royalty income R&D expenditure R&D staff
	Reputation	Brands. Customer loyalty, company reputation (with suppliers, customers, government)	Brand equity Customer retention Supplier loyalty
Human Resources		Training, experience, adaptability, commitment and loyalty of employees	Employee qualifications, Pay rates, turnover

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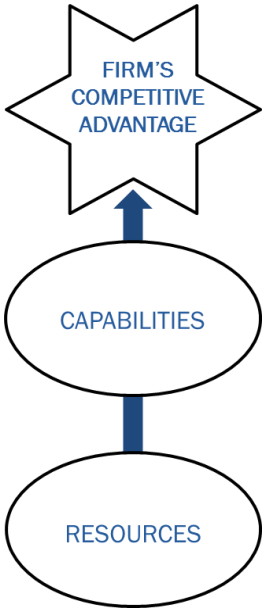
Capabilities

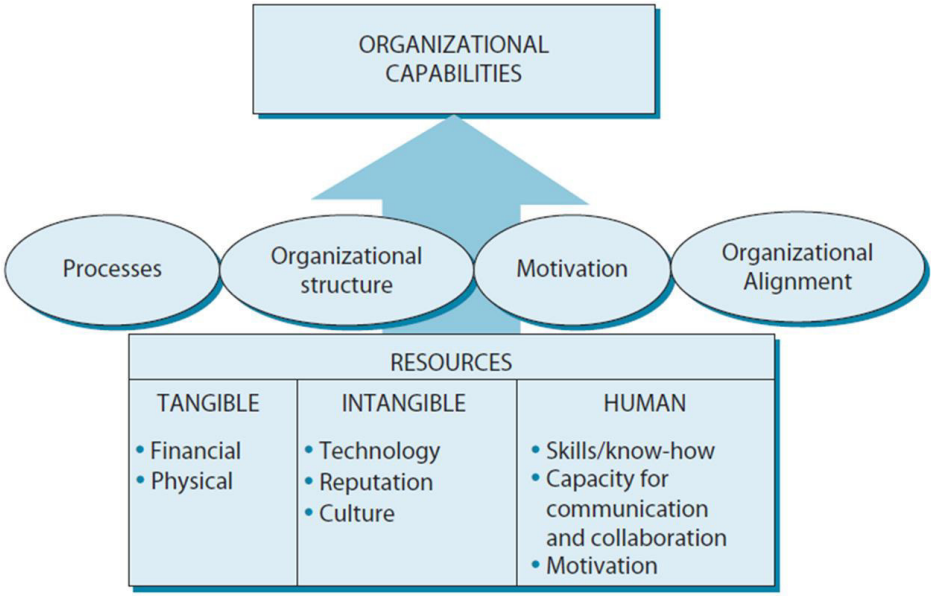
- Organizational capability = **a "*firm's capacity to deploy resources for a desired end result*"**

(in this course we use the terms capability and capacity interchangeably)

– A firm's ability to combine resources

– Developed through organizational routines & processes





Identify a firm's capabilities (1/3)

1. **Functional analysis**
   - Area by area

2. **Value chain analysis**
   - Sequential (Primary & Support activities)

3. **Key Success Factors (KSF)**
   - What resources & capabilities do we need to deliver these KSFs?

Evaluating the strategic importance of resources and capabilities

VRIO Framework (Barney, 1990) (*Barney approach*)

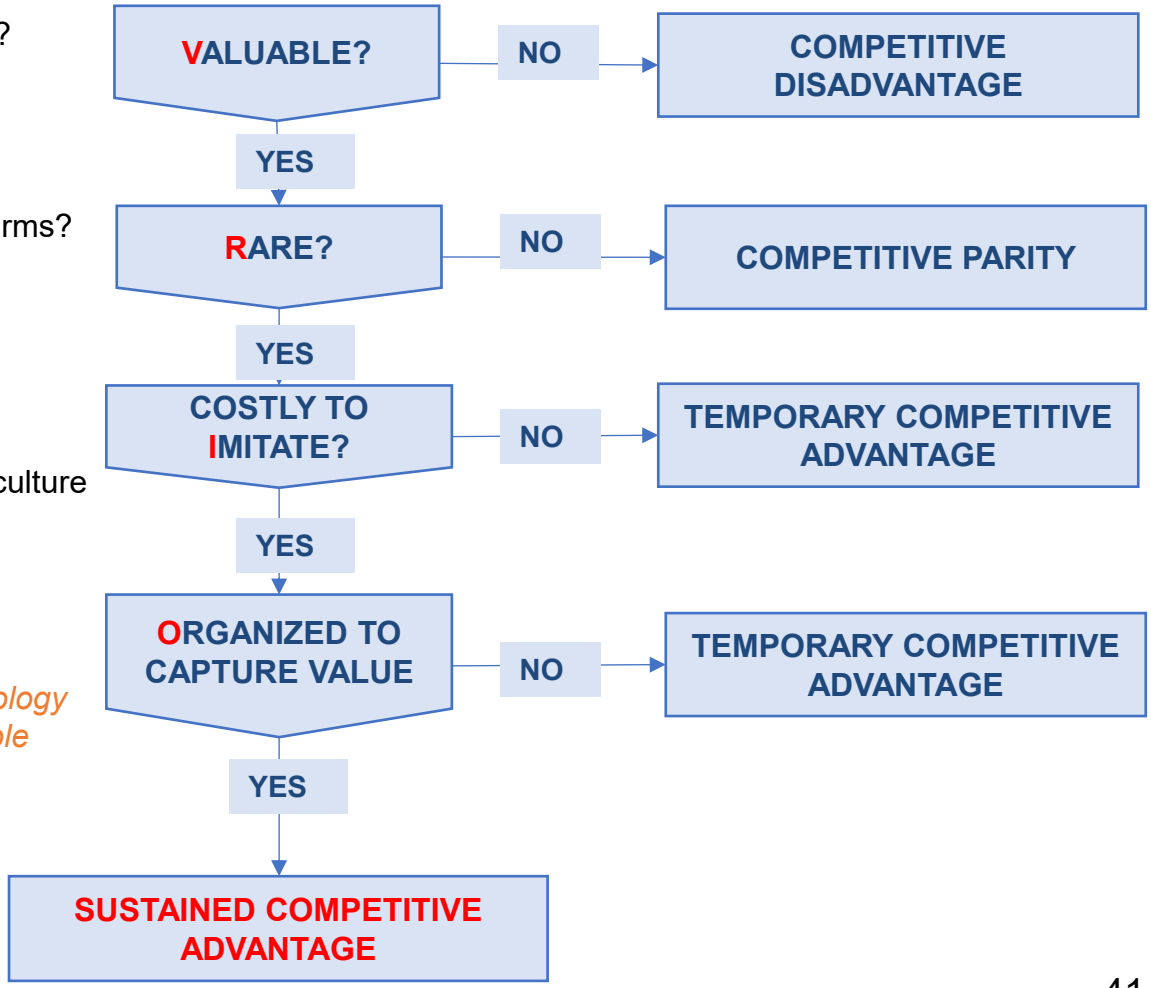
- Is the resource valuable to exploit opportunities?
- Increases the perceived customer value?
  Ex.: Iphone design

- Can resources only be acquired by one or few firms?
  Ex.: Apples´s Patents; Apple´s engineers

- Hard to imitate:
  - Developed over a long period of time?
  - Causal ambiguity
  - Social complexity, embedded in company culture

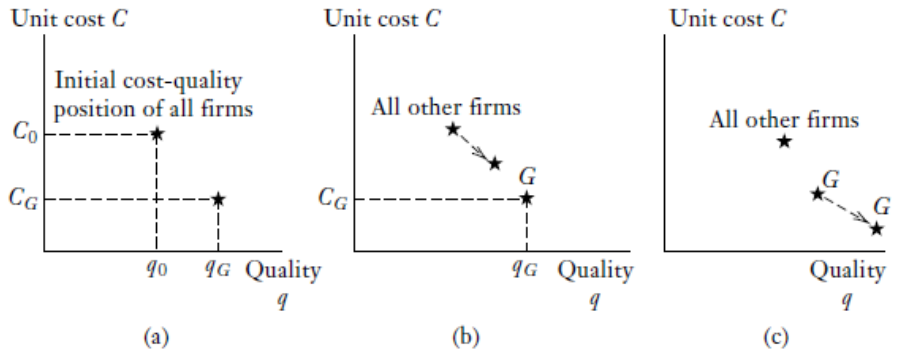
  Ex.: Hardware and Software Technology

- Management systems, processes, policies, organizational structure & culture
  Ex.: Create products with design and technology + marketing → Capture value for Apple



What makes it hard to imitate a resource or capability?

1. **Legal restrictions**
   1. Patents, copyrights, and trademarks
   2. Governmental control over licensing, certification, or quotas on operating right
2. **Superior access** to inputs or customers
   1. E.g. long-term exclusive contracts; brand loyalty
3. **Economies of scale** and **market size**



E.x. Amazon vs. online shop (Market size)

E.x. Lower unit cost (Economies of scale)

4. **Intangible barriers** to imitating a firm's distinctive capabilities: causal ambiguity, dependence on historical circumstances, and social complexity

E.x. Local pastry shop; or "Singers fan club" or Soccer team

COMPETITIVE ADVANTAGE

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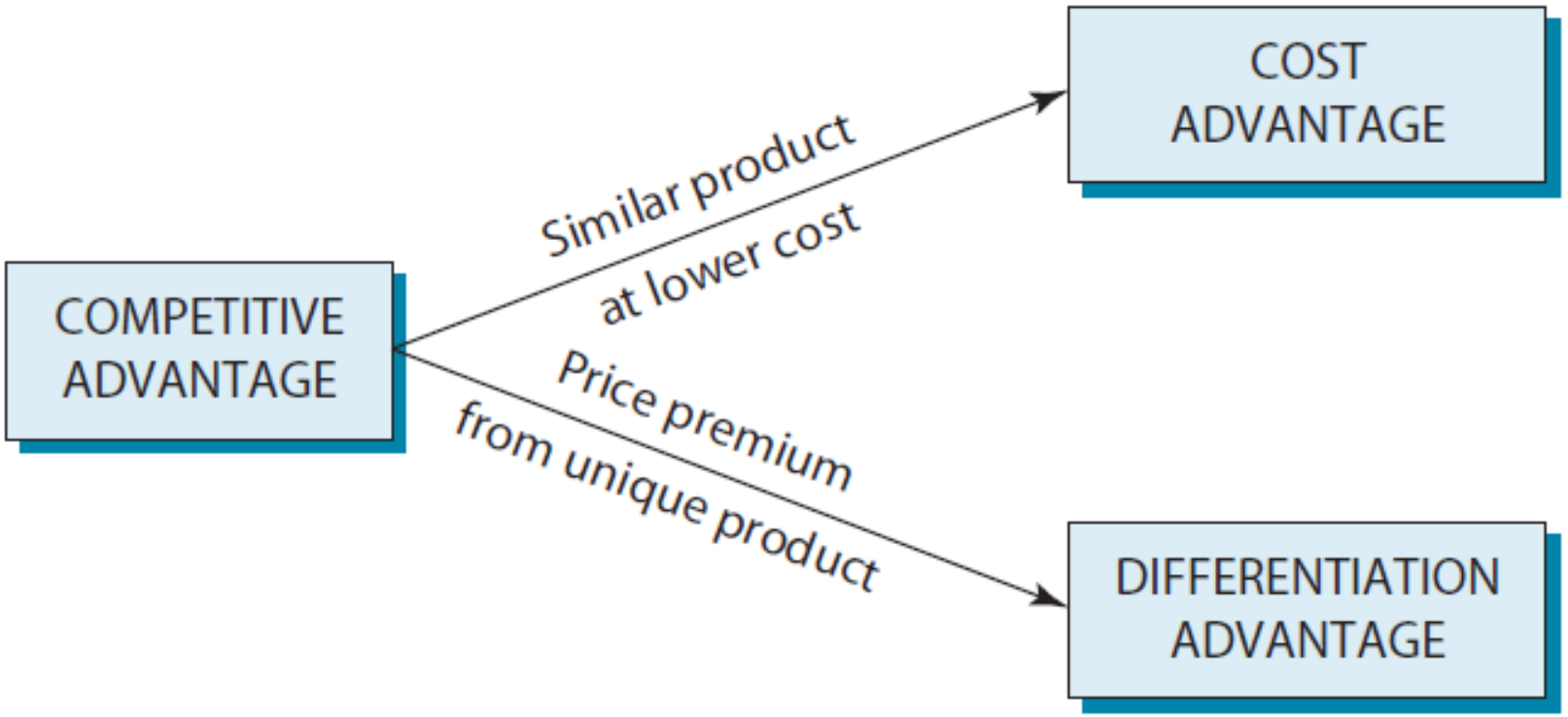
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What is a Competitive Advantage?

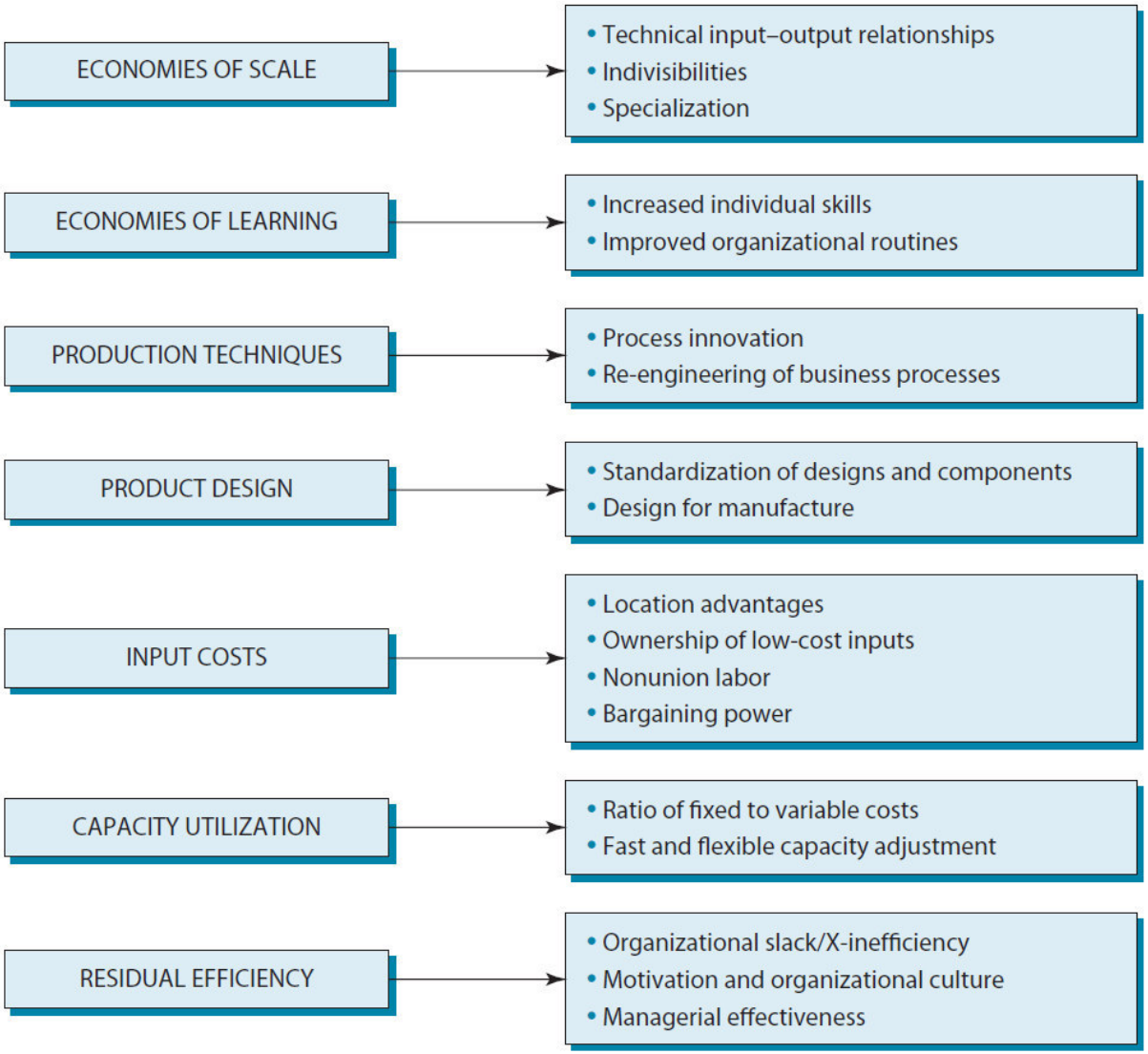
- **Competitive Advantage**: Any characteristic of an organization that makes it different from the others, placing it in a superior competitive position.

It should meet **at least 4 criteria**:

- It must be **relevant**.
- It must be **sustainable over time**.
- It is related to a **key success factor**.
- It should **translate into a higher return** compared to their opponents or the potential to do so.



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DRIVERS OF DIFFERENTIATION

DEFINITION: *"Providing something unique that is valuable to the buyer beyond simply offering a low price"* (M. Porter)

KEY ISSUE: **Creating value for the customer**

TANGIBLE DIFFERENTIATION

Observable, product characteristics:

- Size, color, materials, etc.
- Performance
- Packaging
- Complementary services

INTANGIBLE DIFFERENTIATION

Unobservable and subjective characteristics that appeal to the customer's *image, status, identity and desire for exclusivity*

TOTAL CUSTOMER RESPONSIVENESS

Differentiation not just about the *product*, it embraces the whole *relationship* between the supplier and the customer.

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Defending competitive advantage (1/2)

- How to protect Competitive Advantage?

1. **Control the Resources and Capabilities of competitors**.
2. **Barriers to imitation**.
   - Protection of knowledge. Either by patents or because not disclosed.
   - Tacit knowledge, as accumulated experience.
   - Unique resources.
   - Corporate culture
   - Image / information / Brand
   - Legal or administrative restrictions.
3. **Follow the Dynamism of the industry**.
   - Evolving dynamic environments.
   - Strengthen competitive advantage.
   - Get new competitive advantages.

Industry Life Cycle & Competition in Mature Industries

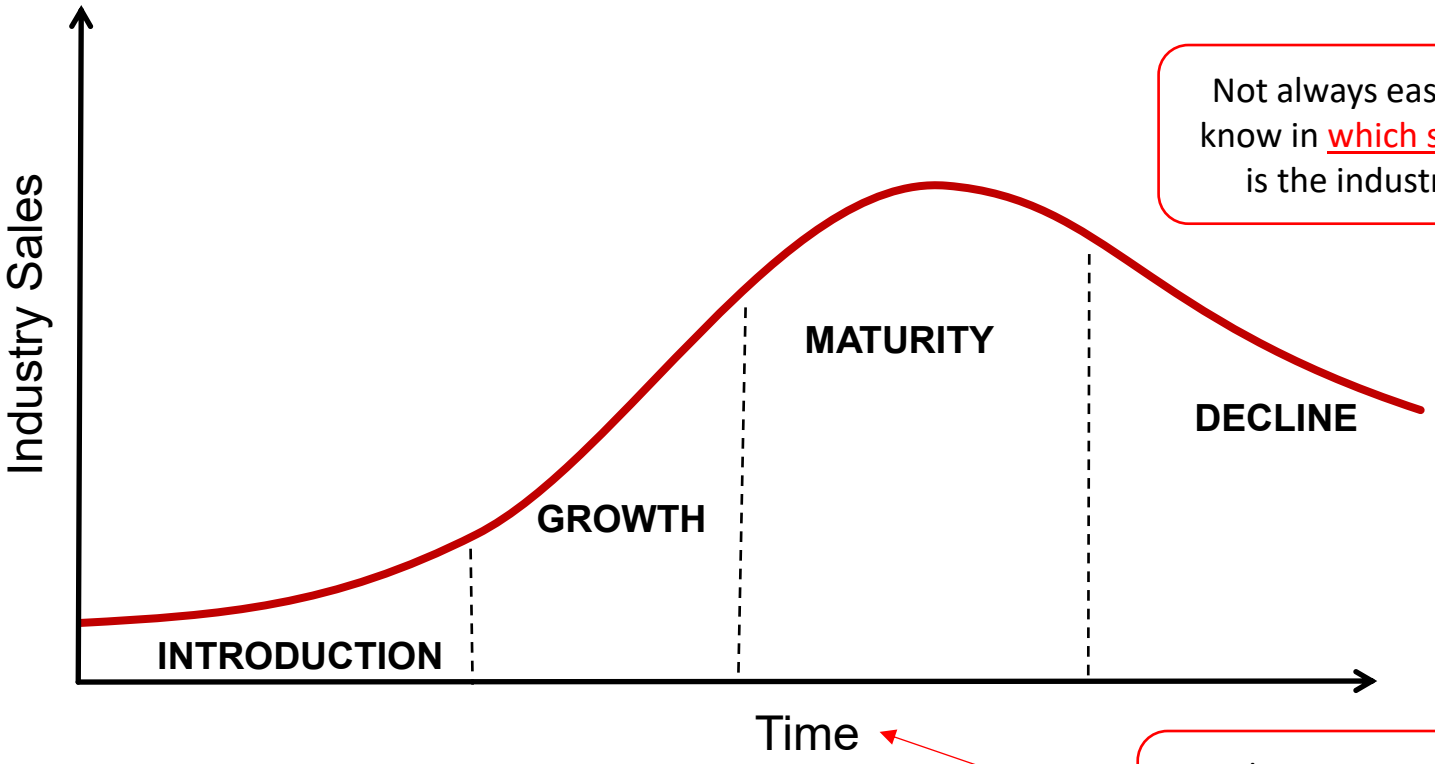
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Prof. Ricardo López Pérez

rlp@faculty.ie.edu

Stages of the Industry Life Cycle

Not easy to know the sales. Industry combine different products and several segments and competitive positions

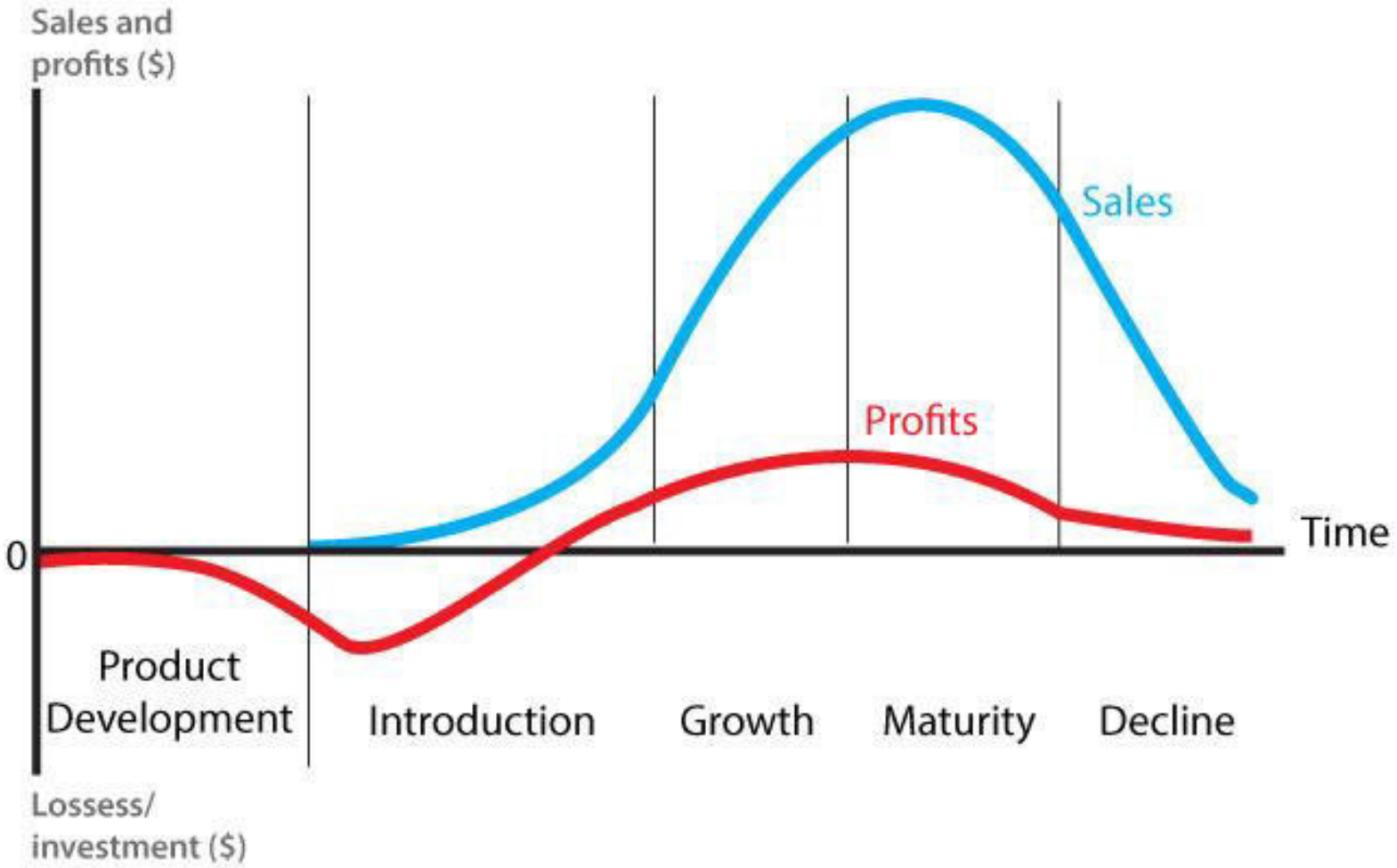


Not always easy to know in which stage is the industry

Not always easy to know which is the time line of the industry

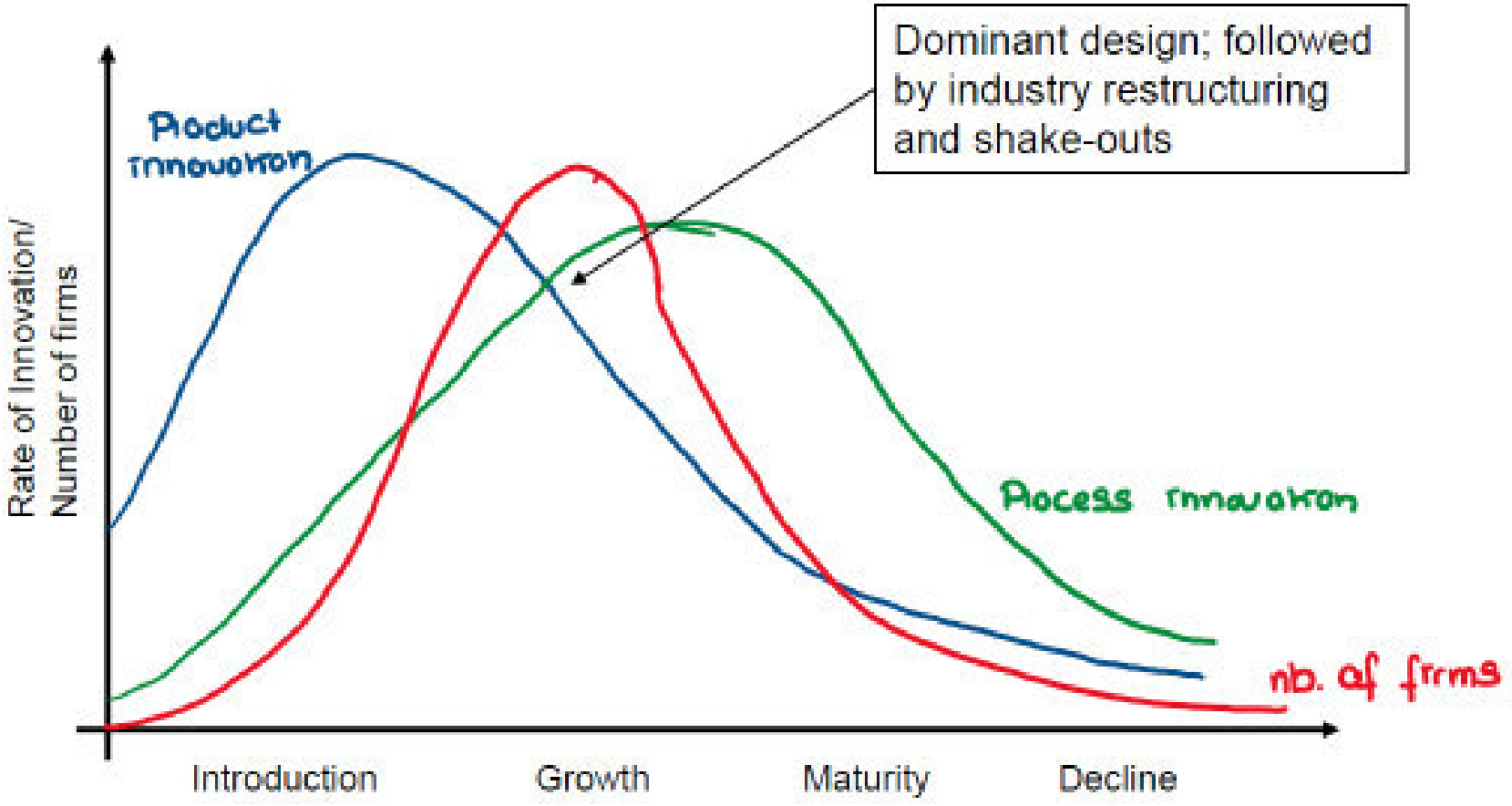
Drivers of industry evolution **:**

- **DEMAND growth**
- **creation and diffusion of KNOWLEDGE**


Sales and profits ($)
Sales
Profits
0
Time
Product Development
Introduction
Growth
Maturity
Decline
Lossess/ investment ($)

	INTRODUCTION	GROWTH	MATURITY	DECLINE
DEMAND	Early adopters	Rapid increase in market penetration	Replacement/ repeat buying; price sensitive customers	Obsolescence
TECHNOLOGY	Competing technologies; rapid product innovation	Standardization; rapid process innovation	Diffused know how; incremental innovation	Little innovation
PRODUCTS	Wide variety of features and designs	Design & quality improve; dominant design emerges	Commoditization; brand differentiation	Differentiation difficult
MANUFACTURING	Short-runs, skill intensive	Capacity shortage, mass-production	Over-capacity emerges; deskilling	Overcapacity
TRADE	------Production shifts from advanced to emerging countries------			
COMPETITION	Few companies	Entry, mergers exit	Consolidation	Price wars & exit
KSFs **Key success factors**	Product innovation Image of the firm and product	Process innovation Access distribution Brand building Fast Production Design for manu-facture;	Cost efficiency (scale economies, low cost inputs) Low Input costs Scale efficiency	Low margins & Overheads; Buyer selection; Rationalization capacity

Number of firms over the industry lifecycle



SOURCES OF COMPETITIVE ADVANTAGE IN MATURE INDUSTRIES

1. COMMODIZATION → means that cost efficiency becomes the primary source of competitive advantage

2. CORPORATE RESTRUCTURING → Periods of structural and strategic change

3. FURTHER SEGMENTATION & CUSTOMER SELECTION → Try to find your competitive niche

4. DIFFERENTIATION → Focus on being different and unique

5. STRATEGIC INNOVATION → Blue-ocean strategy, Value chain, reconfigurations, Redefining markets and market segments

Vertical Integration

Session 21

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

Business vs. Corporate Strategy

Strategic Management

Business Strategy

How does a firm compete in a given industry?

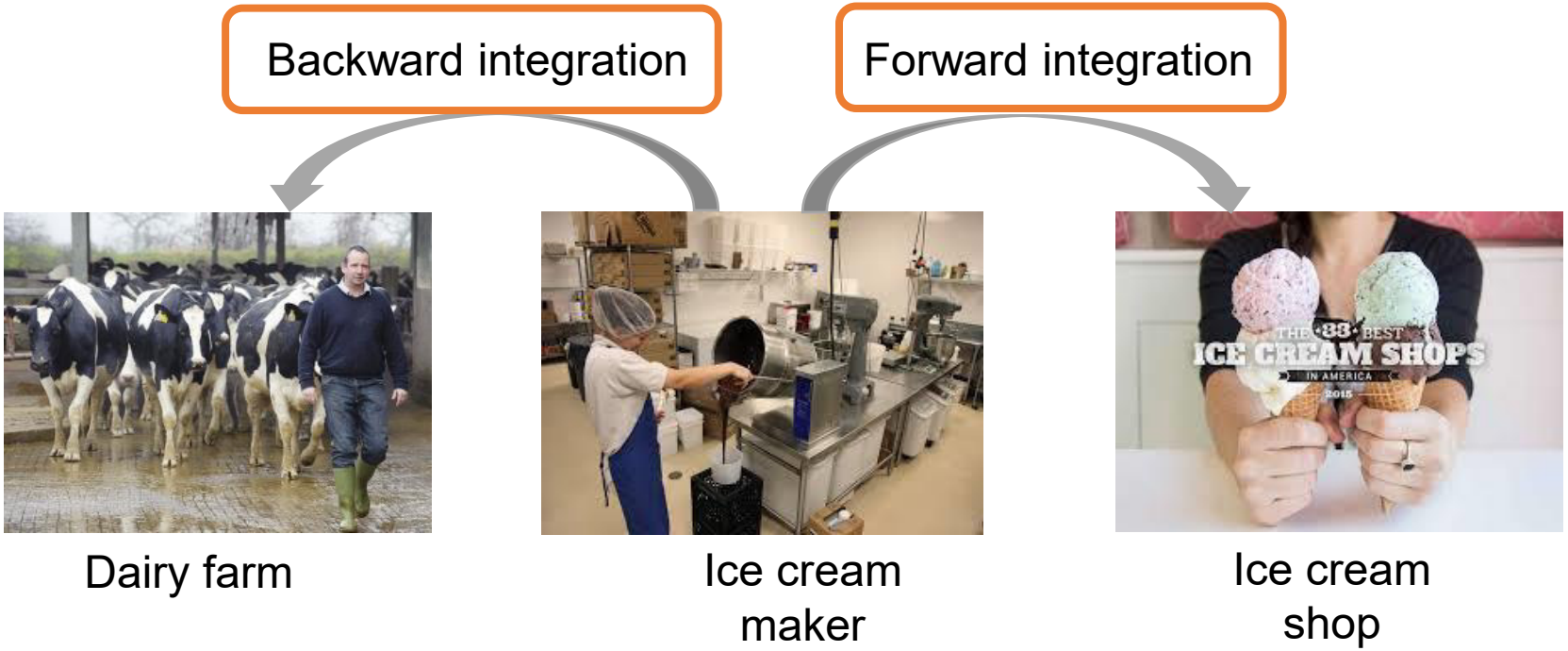
- **Competitive strategy** and **Positioning**
- **Resource-based view**

Corporate Strategy

Where does a firm compete → boundaries of the firm

- Scope of the firm:
  1) **Vertical** boundaries (Vertical integration)
  2) **Horizontal** boundaries (Diversification)
  3) **Geographical** boundaries (Internationalization)

Forward and backward integration



Dairy farm

Ice cream maker

Ice cream shop

- **Backward Integration** = **Doing the activities of your supplier(s)** yourself / acquiring an upstream supplier
- **Forward Integration** = **Expanding business activities to customers'** activities / acquiring a downstream firm

The BENEFITS of Vertical Integration

1. Avoids transactions costs of market **contracts in situations where there are:**

1. small numbers of firms
2. transaction-specific investments
3. opportunism and strategic misrepresentation
4. taxes and regulations on market transactions

2. Integrated Processes. Technical economies from integrating processes, but doesn't necessarily require common ownership

e.g. iron and steel production

3. Superior coordination

The COSTS of Vertical Integration

1. Difficult Managing different businesses

2. Differences between different stages of production

e.g. : The production of wood is lower that the production of furniture

3. Inhibits development of distinctive capabilities

e.g. : Not competing in the markets → Reduce power of getting new capabilities.

4. Incentive problems: lack of "high-powered" incentives

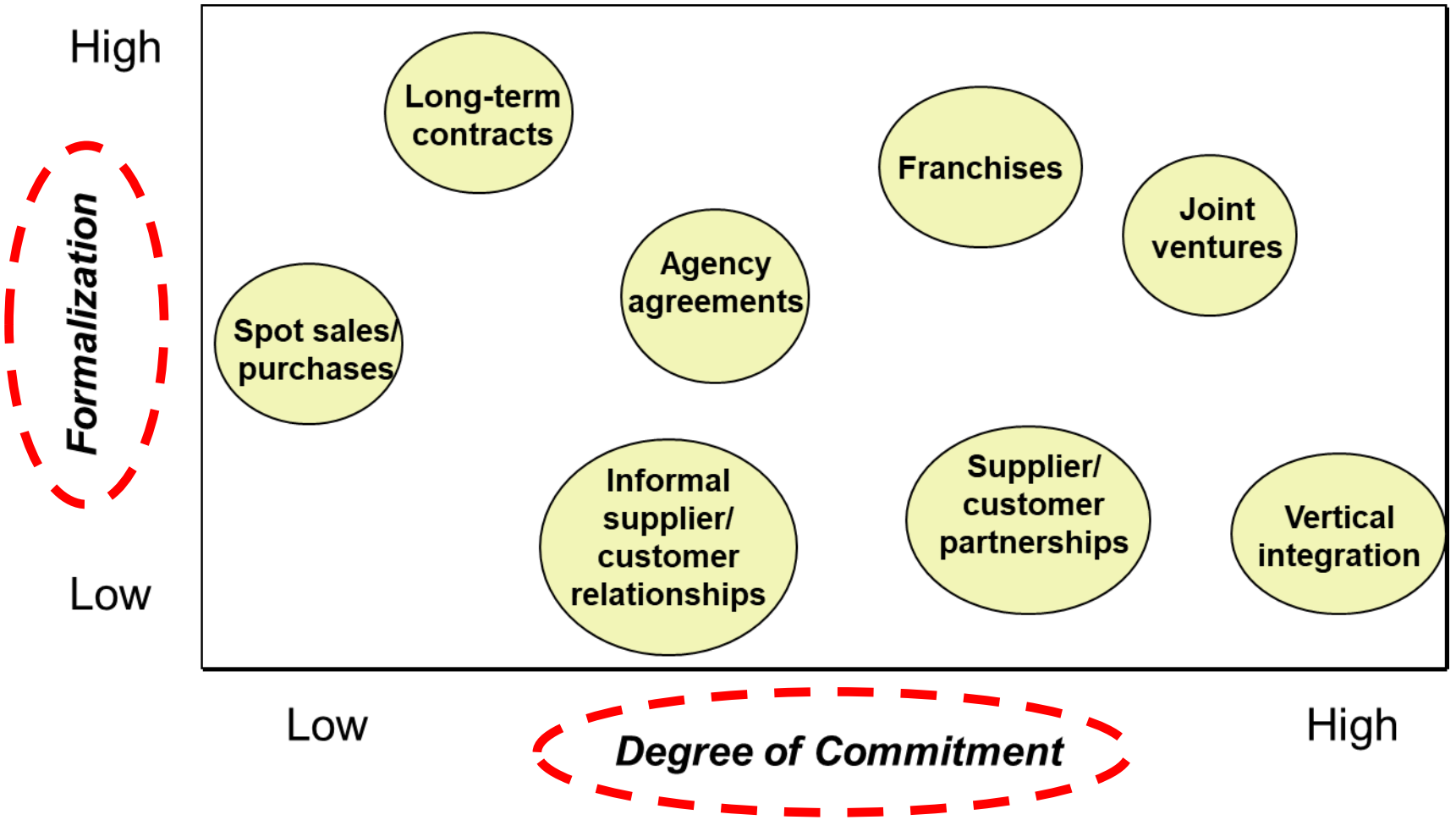
5. Limits flexibility → in responding to demand fluctuations

→ in responding to changes in technology, customer preferences, etc.

(But, may be conducive to *system-wide flexibility*)

6. Increase Compounding risk. All risks concentrated in the same industry.

Types of vertical relationships



Diversification

Session 23

Prof. Ricardo López Pérez

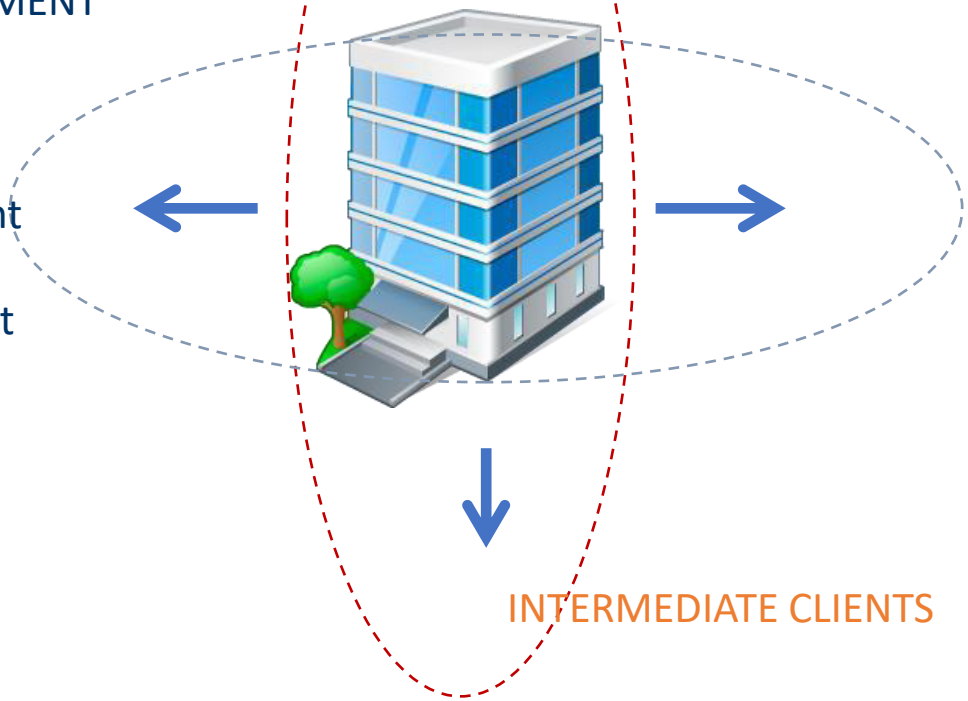
rlp@faculty.ie.edu

VERTICAL INTEGRATION

SUPPLIERS

HORIZONTAL DEVELOPMENT

- Diversification
- Product development
- Market penetration
- Market Development
- Internationalization
- Etc.



INTERMEDIATE CLIENTS

- ✓ Organic
- ✓ Inorganic

Internal Growth (Organic): Growth of new investments or assets within the company.

This is the most common way of growth. It requires hiring new resources to create a new production capacity in the system.

External growth (inorganic):

Growth through acquisition, participation, partnership or assets control of companies.

This is a quick way to grow, but difficult to integrate harmoniously.

Types of diversification

Specialized Firm

No diversification

Arcelor Mittal Steel

ArcelorMittal



Related Diversification

Estee Lauder Fragrances

Estee Lauder Cosmetics

ESTĒE LAUDER COMPANIES





Unrelated Diversification

Virgin Atlantic

Virgin Wines

Virgin





RELATED DIVERSIFICATION

"Don´t put all the eggs in the same basket"



BENEFITS

- Economies of scale
- Improve brand perception
- R+D+i synergies
- Marketing and commercial synergies.

COSTS

- Concentration of risks on a specific brunch of products or services.
- Potential damage of the initial brand.

NON RELATED DIVERSIFICATION

"Jack of all trades, master of none"

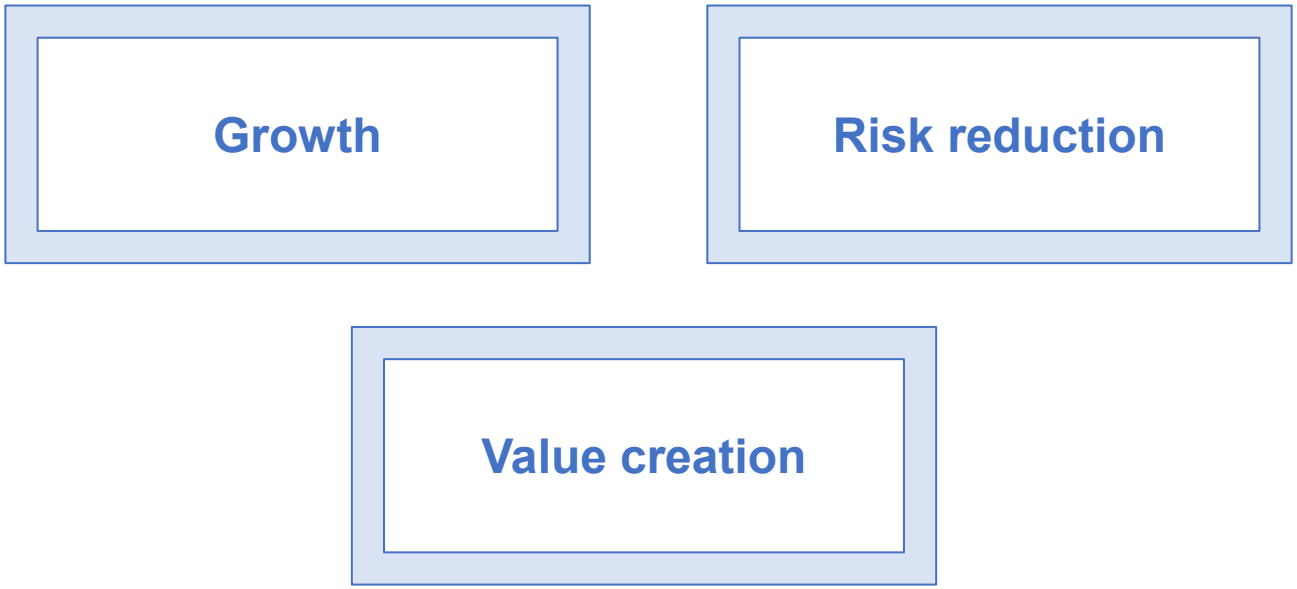
BENEFITS

- Global Enterprise Risk Reduction
- Stability in the flow of benefits
- Resource Allocation

COSTS

- Danger of damaging the traditional business.
- Existence of barriers to entry the new industry.
- Complexity on:
  - Management capacity.
  - Experience and knowledge.

Motives for diversification



3. Value creation: Porter's "three essential tests"

Industry attractiveness on its own is insufficient to justify diversifying into another industry

- **The attractiveness test**
  - The industries chosen for diversification must be structurally attractive or capable of being made attractive

i. **The cost-of-entry test**
  - The cost of entry must not capitalize all the future profits

ii. **The better-off test**
  - Either the new unit must gain competitive advantage from its link with the corporation or vice versa (i.e. some form of "synergy" must be present)

BUSINESS MODEL INNOVATION

Session 25

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

Five elements of an innovative business models

1st **Value proposition** for the customer and a way of capturing value for the organization.

Mark Zuckerberg – What is a Value Proposition? (1 min.)

https://www.youtube.com/watch?v=n0KRT3Daloc



2nd **Different value chain** compared to most competitors and/or the way they approach stakeholders.

3rd **Use innovative processes** more effective and efficient. They try to involve the customer on the processes of the organization.

4th **Innovative resources and capabilities**.

5th **Strong organizational culture**. It is spread by the key people of the organization, including CEOs and founders. Main value is innovation.

Business model Canvas (A. Osterwalder)

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
	Key Resources		Channels	
Cost Structure		Revenue Streams		

VALUES & CORPORATE CULTURE

Session 26

Prof. Ricardo López Pérez

rlp@faculty.ie.edu

Corporate Culture → is the **SHARED** set of **VALUES** (what we care about), **BELIFS** (what we believe to be true), and **NORMS OF BEHAVIOR** (how we do things); that characterize members of an organization and define its nature.




Social Business Hybrids
What is a Social Business Hybrid?
A BUSINESS WITH A DOUBLE BOTTOM LINE:
A SOCIAL MISSION
A COMMERCIAL LOGIC

Corporate Social Responsibility (CSR)



- The firm is the property of its owners
- The firm should maximize shareholder value
- The interests of shareholders take predence over all others

- The firm is a vehicle for cooperation
- The firm should create value for its stakeholders
- The firm should balance all stakeholder interests

How to protect civic engagement?

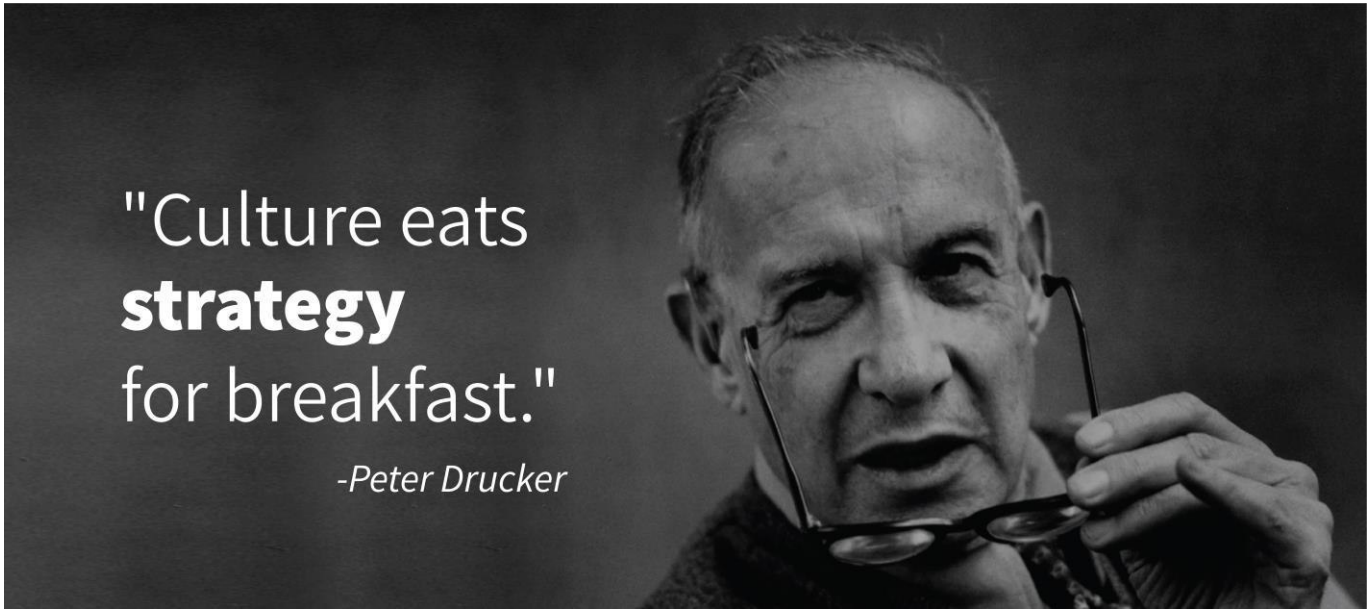




B-Corp Certification is a strategic to signal the authenticity of the social engagement

B-Corporation Certification is a way to protect the social mission

https://www.youtube.com/watch?v=V-VFZUFJwt4&t=18s



There are two key elements of a company that overcome all the business sciences (strategy, marketing, finance, production, ….) and makes them aligned or unaligned:

- Business model
- Corporate culture and their values

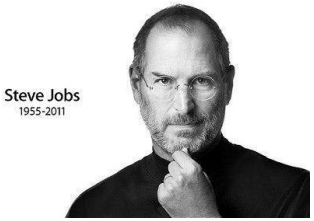
1. Strategy concepts
2. Business Strategy
3. Corporate Strategy
4. Business Leader´s Recommendations
    1. Must have a Value Proposition
    2. Everything is about Values
    3. Focus on your customer
    4. Innovate
    5. Be Unique

Other interesting videos:

Jeff Bezos
https://www.youtube.com/watch?v=EctzLTFrktc



Steve Jobs
https://www.youtube.com/watch?v=Tuw8hxrFBH8



Warren Buffet & Bill Gates
https://www.youtube.com/watch?v=PX5-XyBNi00



Thanks a lot!

GOOD LUCK!

rlp@faculty.ie.edu